

How is the order cost on the cost tab in order entry determined ?

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Issue

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Error

N/A

Resolution

The order cost is pulled from the costing basis. If your costing basis is moving average cost, the system will pull the MAC from the item record in item maintenance. If this MAC is zero, a zero cost will be displayed. This is common for new items, and it is recommended that the Edit Inventory Cost option in Inventory be used when nothing is in stock for the item to populate a MAC for the item.

If your costing basis FIFO then the system will pull the cost from the oldest FIFO layers. If no FIFO layers exist for the item, then the system will pull order cost from the last rec'd PO cost in item maintenance. If this does not exist, the system will pull the Moving Average Cost or MAC of the item. If this is also 0, then the cost pulled will be 0. MAC will be used in the absence of FIFO layer cost and Last Received PO Cost because it is intended functionality for P21 to make as many efforts as possible to populate a non zero cost.

For all other charge items cost is pulled from the Standard Cost field.

If your costing basis is standard cost, order cost is pulled from Standard Cost.

Note that the order cost from the time the order is placed is only an estimate. Cost for an item is recalculated at the time of invoicing and the invoice receives cost based on the current inventory cost at the time of invoicing. Cost on an invoice could be different than the cost on an order. See article KB0017609 regarding

when that value updates (ie: after invoicing).

MAC and Standard costs can be imported with the inventory record in 9.5 and above, and Last received PO costs can be imported on item records for all versions. For items with no inventory, MAC and Standard cost can be updated via edit inventory cost with no impact on the GL as long as no qty on hand exists. Also Last Received PO cost can be updated by hand in item maintenance or inventory fast edit as long as no PO has been received for the item.

Both can be updated via pricing service but it is not recommended when material is in the system, as GL postings will not be made for costs such as MAC.

You may also have a pricing page setup that affects cost. Check to see if the cost tab in the pricing page is set to something other than you expect.

Notes

Articles that may be related to your question:

KB0017609 When order cost on the cost tab in order entry gets updated.

KB0017817 What is the source of commission cost and other cost on an order ?

KB0018778 How commission cost and other cost are updated when an order is invoiced
